

it is not likely to prove a profitable purchase *unless there is specific ground for optimism regarding its future.*

The main drawback of a typical smaller sized company is its vulnerability to a sudden and perhaps permanent loss of its earning power. Undoubtedly such adverse developments occur in a larger proportion of cases in this group than among the larger enterprises. As an offset to this we have the fact that the successful small company can multiply its value far more impressively than those which are already of enormous size. For example, the growth of Philip Morris, Inc., in market value from 5 millions in 1934 to 90 millions in 1939, accompanying a 1,200% increase in net earnings, would have been quite inconceivable in the case of American Tobacco. Similarly, the growth of Pepsi-Cola has far outstripped in percentage that of Coca-Cola; the same is true of General Shoe vs. International Shoe; etc.

But most students will try to locate the potential Philip Morris opportunities, by gaging future possibilities with greater or less care, and will then buy their shares even at a fairly high price—rather than make their commitments in a diversified group of “bargain issues” with only ordinary prospects. Our own experience leads us to favor the latter technique, although we cannot guarantee brilliant results therefrom under present-day conditions. Yet judging from observations made over a number of years, it would seem that investment in apparently undervalued common stocks can be carried on with a very fair degree of over-all success, provided average alertness and good judgment are used in passing on the future-prospect question—and provided also that commitments are avoided at times when the general market is statistically much too high. Two older examples of this type of opportunity are given here, to afford the reader some notion of former stock markets.

Florence Stove Common		Firestone Tire & Rubber Common	
Price in Jan. 1935	.35	Price in Nov. 1925	120
Dividend	\$.2	Dividend	\$6
Earned per share:		Earned per share year ended Oct.:	
1934	\$7.93	1925	32.57*
1933	7.98	1924	16.92
1932	3.33	1923	14.06
1931	2.27	1922	17.08

* Earnings before contingency reserves were \$40.95 per share.